

36 Capital requirements

7 primary questions | Oldest to newest

2026 objectives: 4.8.2, 4.8.4-4.8.7, 5.1.2

4 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P1 September 2009 Q1	5 marks
CA1-P1 April 2016 Q6	17 marks
CA1-P1 April 2018 Q2	12 marks
CP1-P1 April 2019 Q2	6 marks
CP1-P1 September 2019 Q5	12 marks
CP1-P1 April 2023 Q8	12 marks
CP1-P1 September 2023 Q1	6 marks

CA1-P1 | September 2009 | Q1

Current topic | 5 marks total | Original PDF p2

Related: Ch 3, Ch 17.

- 1** An insurance company is subject to state regulation. The regulator is concerned that the company's solvency capital has deteriorated and has decided to intervene in order to protect the interests of policyholders.

- (i) List four actions that the regulator can take. [2]

The regulator is developing a model to project the insurer's solvency position.

- (ii) State the main aspects of the company's insurance business that need to be modelled. [3]

[Total 5]

CA1-P1 | April 2016 | Q6

[Current topic](#) | [17 marks total](#) | [Original PDF p3](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 6**
- (i) Describe the following:
 - (a) solvency capital
 - (b) economic capital

[6]
 - (ii) Explain the likely relationship between solvency capital and economic capital.

[3]
- An insurance company writes long term care contracts.
- (iii) Outline how the company can use an economic balance sheet to assess its available capital.

[8]
- [Total 17]

CA1-P1 | April 2018 | Q2

Current topic | 12 marks total | Original PDF p2

Examiner report and original paper: use the links for this question in index.html.

- 2** (i) Describe the following:
- (a) solvency capital
- (b) economic capital

[5]

The standard regulatory model shows the following funding positions for an insurance company that sells annuity business and term assurance business, on both a solvency and economic capital basis.

	<i>Economic capital basis</i>	<i>Solvency capital basis</i>
Assets	£1,300m	£1,300m
Liabilities (including the capital requirements in respect of its liabilities)	£1,000m	£1,100m
“Free capital”	£300m	£200m

- (ii) Suggest the likely reasons why the “Free capital” is higher under the Economic capital basis. [3]

The Finance Director of the insurance company believes that it would be able to obtain a further £75m Free capital on a solvency capital basis if the insurance company used an internal model, rather than the standard regulatory model.

- (iii) Discuss the advantages and disadvantages to the insurance company of using an internal model to determine its free capital. [4]

[Total 12]

CP1-P1 | April 2019 | Q2

Mixed / scope note | 6 marks total | Original PDF p2

Use the named regime, standard or index as a historical exam context. The report is the answer for that sitting; verify current detail in your 2026 material.

- 2**
- (i) Define the Minimum Capital Requirement and the Solvency Capital Requirement under the Solvency II regime. [2]
 - (ii) Explain why an insurance company might use an internal model to assess its regulatory capital requirements. [4]
- [Total 6]

CP1-P1 | September 2019 | Q5

Current topic | 12 marks total | Original PDF p3

Related: Ch 35.

- 5**
- (i) Describe why the Economic Capital requirements of a company may be lower than its solvency capital requirements. [4]
 - (ii) Describe how the company could use capital management tools to reduce the capital requirement in the future. [4]

An insurance company writes only immediate annuity business. Over the last year it has seen its liabilities, calculated on a best-estimate basis, reduce by 20%. However, over the same period its solvency capital requirements have increased by 20%.

- (iii) Discuss possible reasons for these changes in liabilities and solvency capital requirements. [4]

[Total 12]

CP1-P1 | April 2023 | Q8

Mixed / scope note | 12 marks total | Original PDF p4

Use the named regime, standard or index as a historical exam context. The report is the answer for that sitting; verify current detail in your 2026 material. Related: Ch 1.

- 8** Country A has a regulatory capital framework that is very similar to Solvency II in the European Union. The standard formula regulatory capital model shows the following capital positions for an insurance company in Country A:

	<i>At end of year 1 (£billion)</i>	<i>At end of year 2 (£billion)</i>
Minimum Capital Requirement (MCR)	2	3
Solvency Capital Requirement (SCR)	4	5
'Free capital' over and above the total liabilities and SCR	1.5	0.3

- (i) Suggest possible reasons why the MCR and SCR requirements may have increased over the year. [2]
- (ii) Explain possible reasons why the regulator may be concerned with a reduction in the free capital over the year. [3]

An adviser has indicated that it could help the insurance company build an internal model that would increase the insurance company's free capital by £0.3 billion.

- (iii) Discuss the considerations that the insurance company will need to take into account before using the proposed internal model. [4]
- (iv) Outline the due diligence that the insurance company should carry out on the adviser. [3]
- [Total 12]

CP1-P1 | September 2023 | Q1

[Current topic](#) | [6 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 1** Describe how a life insurance company that only sells annuity business, can use an economic balance sheet to assess the level of capital required to support its business. [6]